

Hindustan Unilever Ltd

Investment Rating : Excellent

Company Overview

Website	http://www.hul.co.in/
Sector	nan
Market Cap	548,890.59 Cr
PE Ratio	34.51
PB Ratio	11.88
Dividend Yield	4.32 %

Financial Quality

ROE	20.2
ROCE	27.2
CFO Quality	High Quality
FCF CAGR	9.69%
Capital Pattern	Excellent

Capital Allocation

Capital Score	100.0
Reinvestment	Balanced
Debt Trend	Increasing Debt
Leverage	Low

Business Overview

Hindustan Unilever is in the FMCG business comprising primarily of Home Care, Beauty & Personal Care and Foods & Refreshment segments. The Company has manufacturing facilities across the country and sells primarily in India.

Strengths

Consistently high return on equity above 20% demonstrates exceptional capital efficiency.
Strong free cash flow generation over 5 years signals healthy business fundamentals.
Operating profit margin above 25% indicates strong pricing power and cost discipline.
Very high interest coverage ratio reflects negligible financial stress from debt servicing.
Consistent dividend yield above 2% backed by positive free cash flow.

Risks

Rising debt over the past 3 years suggests increasing financial leverage risk.